

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK, LLC

COMPLAINANT,

v.

SHENZHEN UNIFELIX SCM LIMITED

RESPONDENT.

RESPONSE TO RESPONDENT’S OBJECTIONS TO EVIDENCE

COMES NOW, Complainant, WAY INTERGLOBAL NETWORK, LLC (“Way”), by its respective undersigned counsel, hereby files its Response to Respondent’s Objections to Evidence and in support thereof states as follows:

1. Along with its response brief, Respondent filed an Objections to Evidence (“Objections”) as to the Declaration of Way’s expert, Salvatore B. Guasto (“Declaration”), on the following bases:
 - a. Mr. Guasto’s report was not produced during discovery (as discussed below, Mr. Guasto did not have a written report to produce). Objections at ¶1.
 - b. The Declaration allegedly “seeks to offer legal opinions to which he [Mr. Guasto] is not qualified to render.” Objections at ¶2.

- c. Certain terms were allegedly added to the at-issue Transport Contract between the parties (specifically as listed in the Objections at ¶3, “Declarant states opines that ‘neither party could alter any charge while the cargo was in transport’ (¶ 8), that the transportation was to be ‘door to door’ (¶ 6), that Unifelix ‘was responsible for Way Interglobal Network LLC’s trucking and sea freight export services’ (¶ 5), and that Unifelix ‘was responsible for the trucking service for the 20 Containers’ (¶19 and ¶ 25)”).
- d. The following statements were allegedly unsupported by evidence:
- “...Unifelix ‘gave instructions to hold the 20 Containers until demurrage and invoices for unrelated containers were paid.’” Objections at ¶4.
 - “He [Mr. Guasto] stated in ¶ 23 that ‘the pickup numbers for the first 19 containers were not provided until October 10 and 24, 2022. The last pickup number for Container UACU5979959 was provided on November 2, 2022.’” Objections at ¶5.
- e. Mr. Guasto’s “opinions on damages is also unsupported by the evidence. His conclusion is that all trucking fees should not be paid by Way, thus meaning Way is hoping to obtain those transportation services for free. Even assuming Unifelix was responsible for paying the trucking fees in the first instance, the fees would ultimately be passed along and invoiced to Way.” Objections at ¶6.
- f. Finally, Respondent objects because “[t]here is no evidence to support a conclusion that Unifelix improperly held any containers, or that any demurrage, storage or other fees were caused by Unifelix’s actions.” Objections at ¶7.

2. Although not titled as a motion, Way is serving this response within seven days in compliance with 46 CFR 502.71 in an abundance of caution. It should be noted that the Objections do not seek to strike the Declaration, but only note the Respondent's objections to the Declaration.

3. Mr. Guasto's Declaration and its exhibits are found in Way's Appendix at CX 7405-8014. Way will address each allegation in more detail below, citing the Appendix for clarity and consistency.

Mr. Guasto's report was not produced. (Objections at ¶1.)

4. Mr. Guasto never had a written report to produce. At the time of Way's Notice of Expert Disclosure, attached as Exhibit 1 to the Objections, it was anticipated that a report would be prepared and then served on Respondent. In anticipation of the report, Way provided a statement as to Mr. Gausto's opinions, facts and data considered by him, and other information to Respondent. However, a report was ultimately not drafted. Respondent, likewise, never produced a written report of its expert but nevertheless provided a declaration from its expert in support of its response brief. Any argument against the use of the Declaration can be equally applied to Respondent's expert's declaration.

5. Respondent likewise does not include that it had the opportunity during discovery to depose Mr. Guasto but did not. Thus, any prejudice is minimal and the Declaration should be allowed to remain in support of Way's brief. Way admittedly could not find a case directly on point. However, in other rulings, the standard has been that "[r]ather than excluding expert testimony, '[v]igorous cross-examination, presentation of contrary evidence, and careful instruction on the burden of proof are the traditional and appropriate means of attacking shaky but admissible evidence.' Daubert, 509 U.S. at 596; *Marine Repair Services of Md., Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1154 (ALJ 2013)." 2019 FMC LEXIS 39, *3.

6. To the extent that this Court strikes or otherwise dismisses Mr. Guasto's report on the basis that a written report was not provided, Respondent's expert's declaration should likewise be stricken or dismissed for the same reason.

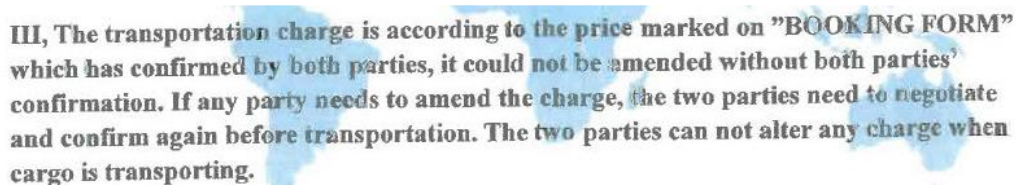
7. Way does not have any objection to Respondent's expert's declaration on the basis that his report was not filed, although Way disagrees with Respondent's expert's opinions.

The Declaration allegedly contains legal opinions. (Objections at ¶2.)

8. The Objections does not specify the legal opinions to which it is objecting. As such, Way cannot respond to this statement and it should not be considered by the Court because it is vague and ambiguous.

Certain terms were allegedly added to the Transport Contract. (Objections at ¶3.)

9. As to the first term cited by Respondent "that neither party could alter any charge while the cargo was in transport," the Transport Contract, attached as Exhibit 2 to Mr. Guasto's Declaration, states in paragraph III: "The two parties can not alter any charge when cargo in transporting." (CX 7418). See image below:



III, The transportation charge is according to the price marked on "BOOKING FORM" which has confirmed by both parties, it could not be amended without both parties' confirmation. If any party needs to amend the charge, the two parties need to negotiate and confirm again before transportation. The two parties can not alter any charge when cargo is transporting.

Respondent's objection is false, misleading, and without merit. As such, it should not be considered by this Court.

10. As to the second term cited by Respondent "that the transportation was to be 'door to door,'" the Federal Court has explained that "'door to door' is used to describe the role of freight forwarders, like Cargolift, which arrange for transportation of cargo when the journey requires different modes of transportation, usually by land and sea." *M & Z Trading Corp. v. Hecny Grp.*,

41 F. App'x 141, 144 n.4 (9th Cir. 2002). The Transport Contract states at paragraph I that Respondent was responsible for “trucking, and sea port freight export services,” which means that the cargo was to be transported to the ultimate destination of Way’s warehouse in Indiana. That, in turn, makes the transportation of the subject cargo “door to door”. (CX 7418). See image below:

below.

I, Party B has the responsibility for Party A’s trucking, and sea freight export services.

Respondent’s objection is false, misleading, and without merit. As such, it should not be considered by this Court.

11. As to the third term cited by Respondent “that Unifelix ‘was responsible for Way Interglobal Network LLC’s trucking and sea freight export services’”, the language was taken directly from the Transport Contract at paragraph I. (CX 7418). See image below.

below.

I, Party B has the responsibility for Party A’s trucking, and sea freight export services.

Respondent’s objection is false, misleading, and without merit. As such, it should not be considered by this Court.

12. As to the fourth term cited by Respondent “that Unifelix ‘was responsible for the trucking service for the 20 Containers’”, Mr. Guasto’s opinion is taken from the Transport Contract at paragraph I that Respondent “has the responsibility for Party A’s [Way’s] trucking, and sea freight export services” (CX 7418) and that the 20 Containers were subject to the terms of the Transport Contract. Respondent’s objection is false, misleading, and without merit. As such, it should not be considered by this Court.

Statements in the Declaration are allegedly unsupported by evidence. Objections at ¶¶4-5.

13. As to the first statement allegedly unsupported by evidence, Respondent states that the “Declarant states based upon his review of unspecified emails that Unifelix ‘gave instructions to hold the 20 Containers until demurrage and invoices for unrelated containers were paid.’ There

is no evidence to support that conclusion.” Objections at ¶4. On the contrary, in the Declaration at ¶20, Mr. Guasto references the emails attached as Exhibit 5 to his Declaration (CX 7865-7877). An email from Respondent dated September 15, 2022 (CX 7867) included in Exhibit 5 to the Declaration states: “But pls hold the all PU# of 20 containers in your hand until consignee [Way] clear all demurrage charge at destination to carrier. Don’t release to consignee.” Additionally, in another email included in Exhibit 5 to the Declaration, Celestial Freight (two days after receiving the September 15 email from Respondent) told Way “due to very overdue invoices and high demurrage, destination carrier will not release the final 20 containers until your company clears all attached invoices.” (CX 7870). Respondent’s objection is false, misleading, and without merit. As such, it should not be considered by this Court.

14. As to the second statement allegedly unsupported by evidence, Respondent states: “He [Mr. Guasto] stated in ¶ 23 that ‘the pickup numbers for the first 19 containers were not provided until October 10 and 24, 2022. The last pickup number for Container UACU5979959 was provided on November 2, 2022.’ He referred to the email composite in Exhibit 7 to support that conclusion, but there is no reference to pick up numbers in that email chain.” Objections at ¶5. Again, this is a misleading and false statement. In his Declaration, Mr. Guasto based his statements on and referenced the emails attached as Composite Exhibit 7 to his Declaration. (CX 7410 at ¶23; CX 7950-7957). Contrary to Respondent’s statement, included in Composite Exhibit 7 are emails that provided pickup numbers for 11 of the containers on October 10, 2022 (CX 7954) and 7 containers on October 24, 2022 (CX 7955). The final pickup number for Container UACU5979959 was provided on November 2, 2022 (CX 7956-7957).¹ Respondent’s statement

¹ The date of the pickup number for Container TCNU6134091 was inadvertently omitted from the Declaration but was provided to Way on October 13, 2022 (CX 454-455).

that there “is no reference to pick up numbers in that email chain” is false, misleading, and without merit. As such, it should not be considered by this Court.

The opinions on damages are allegedly unsupported by evidence. Objections at ¶¶6-7.

15. Next, Respondent states that Mr. Guasto’s “opinions on damages is also unsupported by the evidence. His conclusion is that all trucking fees should not be paid by Way, thus meaning Way is hoping to obtain those transportation services for free. Even assuming Unifelix was responsible for paying the trucking fees in the first instance, the fees would ultimately be passed along and invoiced to Way.” Objections at ¶6. The objection does not reference a specific paragraph in the Declaration, but Way assumes Respondent is referring to the trucking fees listed at ¶31 of the Declaration. (CX 7411-7412 at ¶31). Respondent’s statement is misleading because Mr. Guasto states in the Declaration that his opinion is that the trucking fees were included as part of the Transport Contract, not that trucking fees would have been “free”. Declaration at ¶¶5, 14 (CX 7406-7407). Regardless, issues with Mr. Gausto’s opinion should have been addressed or were addressed by Respondent’s expert’s declaration or in its response brief. An expert’s opinion should not be stricken or discarded just because the opposing party disagrees with it. If that were the case, there would virtually be no expert reports in any matter at all as it would be rare for experts on two different sides of a matter to completely agree on a matter that is in controversy or being litigated. As to the allegation that there is a lack of evidence, the Declaration includes supporting references to the Appendix. Anything further is a decision left to this Court. Respondent’s statement is false, misleading, and without merit. As such, it should not be considered by this Court.

16. Finally, Respondent objects because “[t]here is no evidence to support a conclusion that Unifelix improperly held any containers, or that any demurrage, storage or other fees were

caused by Unifelix's actions." Objections at ¶7. Again, this goes to the heart of Way's brief and should have been addressed or was addressed by Respondent's expert's declaration or in its response brief. It is up to the Court to consider and weigh the evidence presented by the parties and their experts. Respondent's statement is false, misleading, and without merit. As such, it should not be considered by this Court.

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CERTIFICATE OF SERVICE

I hereby certify that I have this 13th day of October, 2023, served the foregoing document upon Theodore H. Adkinson, Esq. (THA@tradeandcargo.com) by electronic mail, with a courtesy copy to judges@fmc.gov.



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